

Driving Growth using Desired Outcomes

Establishing a Customer Centric model for optimizing value delivery to Stakeholders**

**** includes customers, partners, compliance organizations, business investors, and business staff**

Value Proposition

❑ What are the challenges ?

- Currently, the organization does not fully understand the unmet needs of current (and future) members
- Membership retention and growth are key challenges for the organization
- Operational inefficiencies are prevalent since there are few metrics to evaluate the services & products being offered

“When customers find that they need to get a job done, they ‘hire’ products or services to do the job.”

p. 2, Clayton M. Christensen, Scott D. Anthony, Gerald Berstell, and Denise Nitterhouse, “Finding the Right Job for Your Product,” *Sloan Management Review*, Spring 2007

❑ How will this methodology help ?

- This will provide the organization with a disciplined (and proven) methodology for evaluating opportunities to continuously improve the services & products for their members

What is a Job ?

- ❑ The methodology is based on a perspective of measuring the desired outcomes that an individual would like to achieve within the context of a particular "job" that he/she is trying to get done.
- ❑ Defines the high-level goal the customer is trying to accomplish or problem they are trying to resolve
- ❑ Defines an action, application or process for which one or more products or services are presently being hired or may be needed

What are Outcomes ?

- ❑ Each job is comprised of a common set of activities (steps if you will) which involve planning, preparing, executing, monitoring, adjusting, and completing the work to be done.
- ❑ A person trying to complete these steps has a set of desired outcomes they wish to achieve for each step in the job. We call these outcomes and they can be measured.

What is an Unmet Need ?

- ❑ Customers intrinsically use “metrics” to define the successful execution of a specific job
- ❑ These metrics (or desired outcomes) ARE the customer’s needs
- ❑ If a desired outcome is both important and unsatisfied, it is unmet
- ❑ The more important and less satisfied an outcome is (the more unmet it is) the greater it represents an opportunity for value creation
- ❑ ... customers may not be able to articulate a solution, but they can certainly articulate what outcomes they want to achieve



Customers couldn’t articulate their “need” for a microwave oven, but they did know they wanted to:

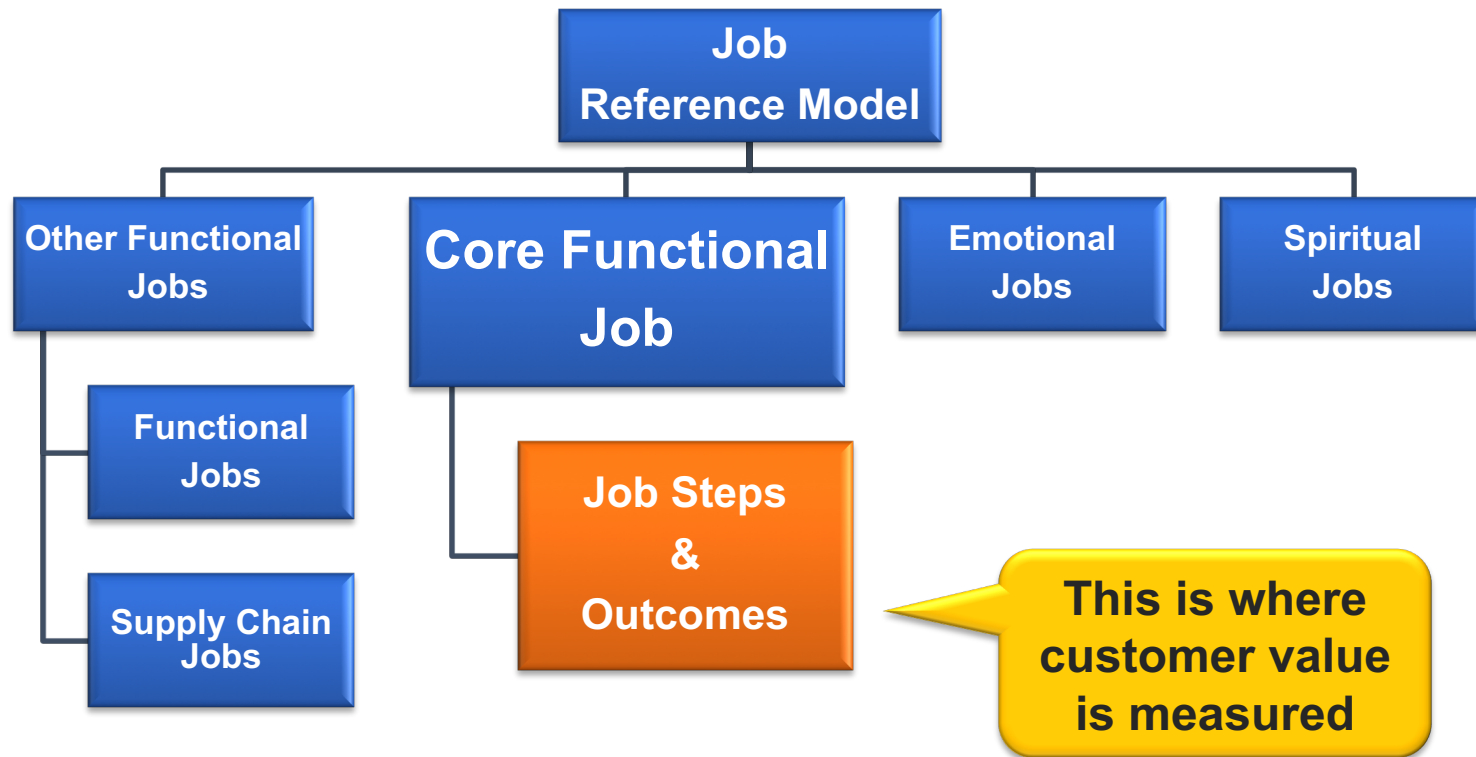
- Minimize the time it takes to prepare a meal
- Minimize the time it takes to clean up after cooking
- Minimize the likelihood of overcooking a meal
- Increase the likelihood that the food is cooked evenly throughout

What is a Job Model ?

- ❑ **A job model is an attempt to identify the relationships between the core job that a person is performing and all the other jobs that can influence the outcomes for the job:**
 - Direct & indirect functional jobs
 - Supply chain jobs
 - Emotional & Spiritual Jobs

All of these can be captured initially & measured eventually (depending on the scope of the study)

The Job Model

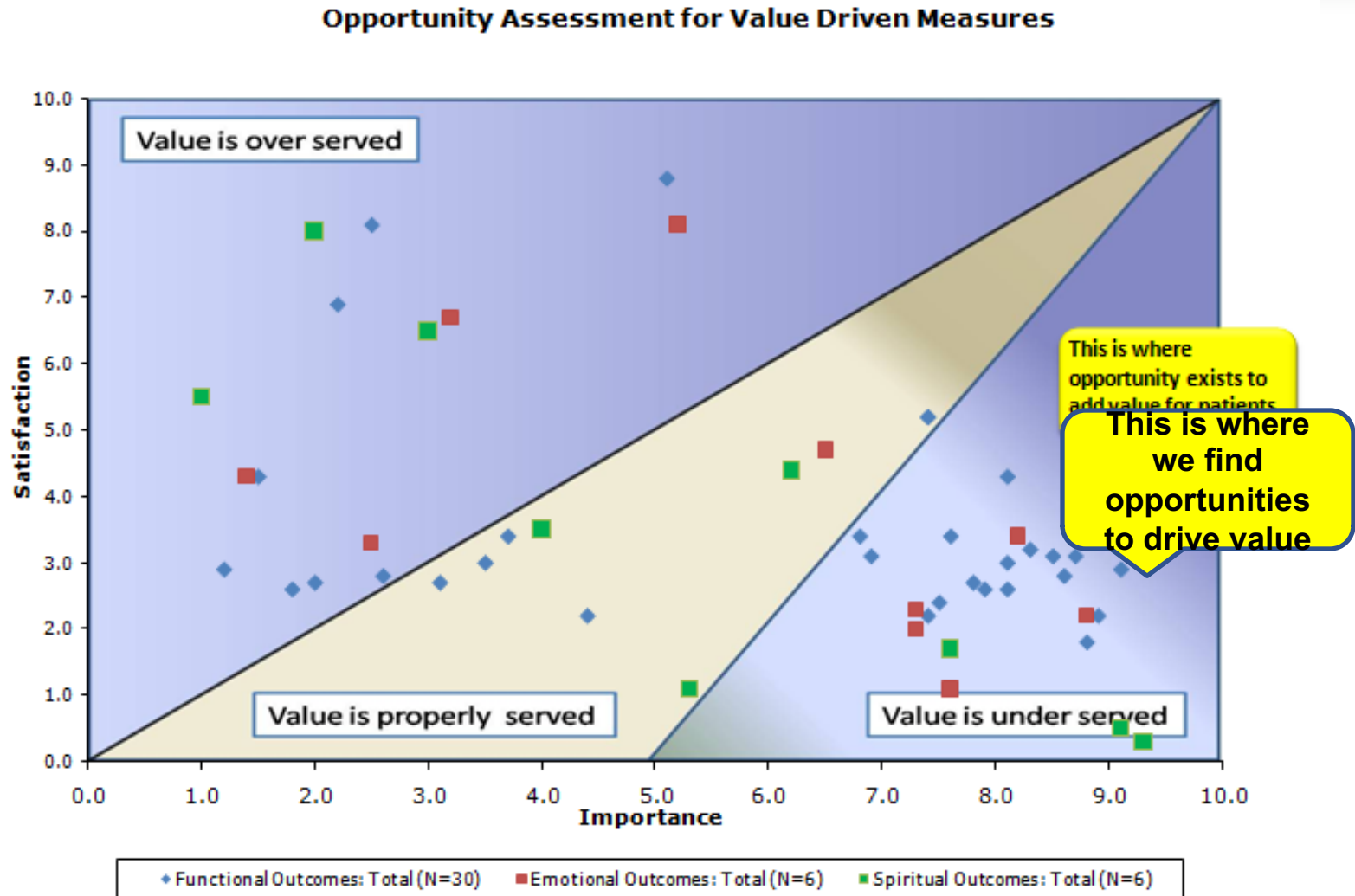


Quantitative Data from Study

Value Driven Measurement Study XXX List of Outcomes with Survey Data				
Outcomes	Importance	Satisfactio	Opportuni	Process Step
Functional Outcomes for Core Functional Job	Functional Outcomes: Total (N=30)			
Outcome 1	8.7	3.1	14.3	Step 1
Outcome 2	8.5	3.1	13.9	Step 1
Outcome 3	8.3	3.2	13.4	Step 1
Outcome 4	7.9	2.6	13.2	Step 1
Outcome 5	7.5	2.4	12.6	Step 1
Outcome 6	2.5	8.1	-3.1	Step 2
Outcome 7	7.4	2.2	12.6	Step 2
Outcome 8	3.1	2.7	3.5	Step 2
Outcome 9	6.9	3.1	10.7	Step 2
Outcome 10	6.8	3.4	10.2	Step 2
Outcome 11	8.8	1.8	15.8	Step 3
Outcome 12	8.9	2.2	15.6	Step 3
Outcome 13	9.1	2.9	15.3	Step 3
Outcome 14	7.4	5.2	9.6	Step 3
Outcome 15	8.6	2.8	14.4	Step 3
Outcome 16	8.1	2.6	13.6	Step 3
Outcome 17	8.1	3.0	13.2	Step 4
Outcome 18	7.8	2.7	12.9	Step 4
Outcome 19	8.1	4.3	11.9	Step 4
Outcome 20	7.6	3.4	11.8	Step 4
Outcome 21	2.2	6.9	-2.5	Step 4
Outcome 22	5.1	8.8	1.4	Step 5

Actual Study &
Outcomes are not
masked for privacy

Quantitative Analysis from Study



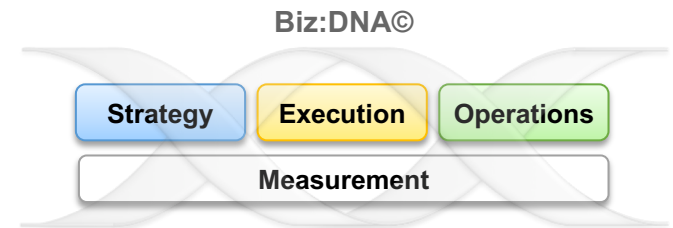
How is innovation driven by Desired Outcomes ?

- ❑ Instead of chasing trends and matching capabilities to find opportunities...Old model = Customer Driven
- ❑ Identify Desired Outcomes and match capabilities to create opportunities...New model = Driving the Market



Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



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